



Quarterly Investment Report

Q4 2023 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	53.2%	+1.77%	+4.77%
Credit	23.5%	-1.31%	+3.84%
Equities	8.4%	-0.48%	-7.77%
Property	7.0%	-0.82%	-0.20%
Cash	6.9%	+1.12%	+3.70%

Market Commentary

During Q4 2023, gilt yields moved by approximately -12bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.